

Home Loan Policy

Loan-to-Value

The maximum LTV is 90% for loans up to INR 30 lakh, 80% for loans above INR 30 lakh and up to INR 75 lakh, and 75% above INR 75 lakh. Stamp duty and registration charges may not be included in the property cost for LTV computation.

Eligibility and FOIR

The fixed-obligation-to-income ratio (FOIR), including the proposed EMI, must not exceed 50% for applicants with gross monthly income up to INR 1 lakh and 60% above that.

Co-applicant income may be aggregated where the co-applicant is a co-owner.

Tenure and Age

Maximum tenure is 30 years for salaried and 25 years for self-employed applicants, and in all cases must end by the applicant's age of 70.

Interest and Reset

Loans are linked to the external benchmark (repo) rate with a spread by risk grade. The rate resets within three months of any benchmark change. Borrowers may switch from a higher spread to the prevailing spread on payment of a conversion fee.

Prepayment

Floating-rate loans to individuals carry no prepayment or foreclosure charge. Fixed-rate loans carry a 2% charge on the amount prepaid beyond 25% of the outstanding in a year.